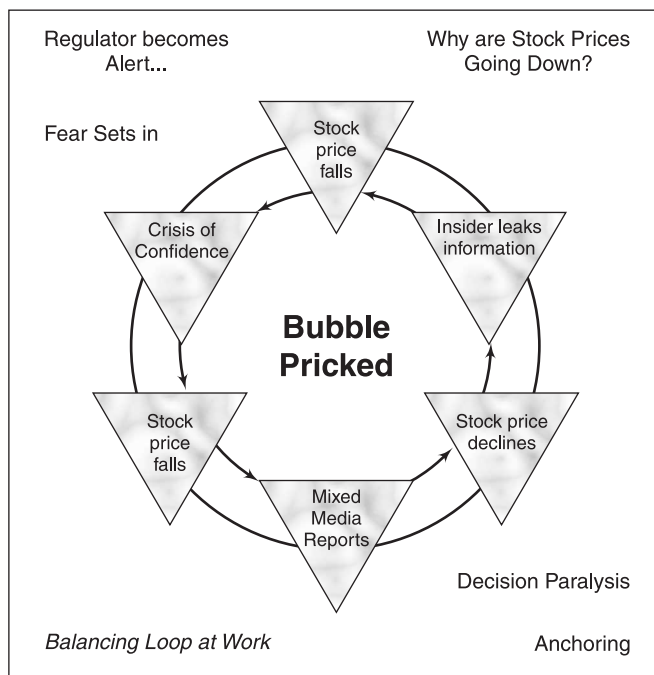




price. There is more confusion and uncertainty and the stock price falls steeply. The bubble has been pricked.

FIGURE 10.4



### ➤ The Bubble is Pricked

Now the balancing loop accelerates. Negative news further damages stock prices. The banks are forced to call in further margins on their lending. Some defaults in margin calls force the banks to sell the shares. This news dampens the sentiment and banks and financiers stop lending against the stock. With falling prices loss aversion dominates and investors panic. The market enters the bear phase. Now each one wants to get out faster than his neighbour does. Prices decline at a faster rate and news of wrongdoings and scams begin to surface. At this stage no good news about the stock can improve the stock price. The buyers